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Case Number: 25PSCV04159 Hearing Date: June 24, 2026 Dept: H

Zhang v. Hart, et al., Case

No. 25PSCV04159

ORDER ON

DEMURRER AND MOTION TO STRIKE

1. Defendant Nicholas Raymond Hart's Demurrer

to Complaint is sustained as to the fourth, fifth and seventh causes of action, with 20 days' leave to amend, and overruled as to the second, third, and eighth causes of action.

2. Defendant Nicholas Raymond Hart's Motion

to Strike Portions of Plaintiff's Complaint is granted, in part (i.e., as to the allegations regarding attorneys fees), and denied, in part (i.e., as to the allegations regarding punitive damages and Defendant's finances).

Background

Plaintiff

Maggie Zhang, as Trustee of the KCWZ Irrevocable Trust ("Plaintiff") alleges as

follows:

On

January 31, 2024, Plaintiff, on the one hand, and Nicholas Raymond Hart (“Hart”) and Above All Construction (“AAC”) (together, “Defendants”), on the other hand, entered into a written construction contract for the renovation and conversion of Plaintiff’s residential property. Defendants unilaterally modified the scope of work without written change orders, performed or billed for unauthorized “upgrade” work, issued inflated and unsupported invoices, demanded additional payments under threat of work stoppage and failed to perform the work in a timely manner.

On

November 18, 2025, Plaintiff filed a complaint, asserting causes of action against Defendants and Does 1-25 for: (1) Breach of Written Contract, (2) Breach of the Implied Covenant of Good Faith and Fair Dealing, (3) Fraud/Intentional Misrepresentation, (4) Violation of Business and Professions Code § 17200—Unlawful and Unfair Business Practices, (5) Unjust Enrichment/Money Had and Received, (6) Negligence—Failure to Perform Work in a Skillful and Workmanlike Manner, (7) Declaratory Relief, and (8) Assault.

A Case Management Conference and an Order to Show

Cause Re: Failure to File Proof of Service as to Above All Construction are set for June 24, 2026.

1. Demurrer

Legal

Standard

A demurrer may be made on the grounds that the

pleading, inter alia, does not state facts sufficient to constitute a cause of

action. (Code Civ. Proc., § 430.10, subd. (e).)

“A demurrer tests the

pleadings alone and not the evidence or other extrinsic matters. Therefore, it

lies only where the defects appear on the face of the pleading or are

judicially noticed.” (SKF Farms v. Superior Court (1984) 153 Cal.App.3d

902, 905 [citations omitted].) At the pleading stage, a plaintiff need only

allege ultimate facts sufficient to apprise the defendant of the factual basis

for the claim against him. (Semole v.

Sansoucie (1972) 28 Cal. App. 3d 714, 721.) “[A] demurrer does not,

however, admit contentions, deductions or conclusions of fact or law alleged in

the pleading, or the construction placed on an instrument pleaded therein, or

facts impossible in law, or allegations contrary to facts of which a court may

take judicial knowledge.” (S. Shore Land

Co. v. Petersen (1964) 226 Cal.App.2d 725, 732 [citations omitted].)

Discussion

Hart

demurs, per Code of Civil Procedure section 430.10(e) to the second through fifth, seventh and eighth causes of action in Plaintiff's complaint, on the basis that they each fail to state facts sufficient to constitute a cause of action.

Second

Cause of Action (i.e., Breach of the Implied Covenant of Good Faith and Fair Dealing)

"A

breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that bad faith implies unfair dealing rather than mistaken judgment." (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394.) "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated . . . [T]he only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery." (Id. at 1394-95.) To recover in tort for breach of the implied covenant, the defendant must "have acted unreasonably or without proper cause." (Id.

at 1395 [cleaned up].)

A cause

of action for breach of the implied covenant may be regarded as superfluous if

the allegations “do not go beyond the statement of a mere contract breach and,

relying on the same alleged acts, simply seek the same damages or other relief

already claimed in a companion contract cause of action.” (Bionghi v. Metro

Water Dist. (1999) 70 Cal.App.4th 1358, 1370 [internal citations

omitted].)

Plaintiff

sufficiently pleads this cause of action. The allegations here go beyond a mere

breach of contract, as Plaintiff alleges Defendants demanded excessive and

unwarranted payments, threatened to stop work, personally threatened Plaintiff

in order to coerce payments, failed to perform work in a timely, workmanlike,

and professional manner, and used delay as leverage to extract further payments.

(Compl., ¶ 34.) While there exists some overlap with the breach of contract

cause of action allegations, this cause of action also pleads unreasonable, bad

faith conduct, such as personal threats, coercion, and excessive demands.

Plaintiff's

demurrer to the second cause of action is overruled.

Third

Cause of Action (i.e., Fraud/Intentional Misrepresentation)

“The

essential allegations of an action for fraud are a misrepresentation, knowledge of its falsity, intent to defraud, justifiable reliance, and resulting damage.”

(Roberts v. Ball, Hunt, Hart, Brown & Baerwitz (1976) 57

Cal.App.3d 104, 109.) “Fraud must be pleaded with specificity...[t]o

withstand a demurrer, the facts constituting every element of

the fraud must be alleged with particularity, and the claim cannot be salvaged

by references to the general policy favoring the liberal construction of

pleadings.” (Goldrich v. Natural Y Surgical Specialties, Inc. (1994)

25 Cal.App.4th 772, 782 [emphasis in original].) “This particularity

requirement necessitates pleading facts which show how, when,

where, to whom, and by what means the representations were tendered.” (Stansfield

v. Starkey (1990) 220 Cal.App.3d 59, 73 [emphasis in original;

quotation marks and citation omitted].)

Here,

Plaintiff pleads this cause of action with the required specificity. Plaintiff

identifies that Defendants represented to Zhang on October 22, 2023 that they

possessed extensive experience and expertise in residential construction and

conversion projects and that Defendants could guarantee timely completion

within the proposed schedule and cost. (Compl., ¶ 38.) Plaintiff alleges that Defendants further represented that the work estimate included all construction, labor, and materials necessary to complete the project. (Compl., ¶ 39.) Plaintiff alleges Defendants knew this was false and/or reckless without regard for its truth because Defendants lacked staff, resources, and intent to complete the project on time or within budget. (Compl., ¶ 40.) These allegations properly plead when, where, how, to whom, and by what means the representation was tendered.

Plaintiff's

demurrer to the third cause of action is overruled.

Fourth

Cause of Action (i.e., Violation of Business and Professions Code §

17200—Unlawful and Unfair Business Practices)

To set

forth a claim for a violation of Business and Professions Code section 17200

("UCL"), Plaintiff must establish Defendants engaged in an "unlawful, unfair or

fraudulent business act or practice and unfair, deceptive, untrue or misleading

advertising" and certain specific acts.

(Bus. & Prof. Code § 17200.) A cause of action for unfair

competition "is not an all-purpose substitute for a tort or contract

action.” (Cortez v. Purolator Air

Filtration Products Co. (2000) 23 Cal.4th 163, 173.) To maintain a cause of

action for UCL violation, a plaintiff must allege the defendant “engaged in a

business practice forbidden by law, be it civil or criminal, federal, state, or

municipal, statutory, regulatory, or court-made.” (Shroyer v. New Cingular

Wireless Servs. (2009) 622 F.3d 1035, 1044.) “[A] common law violation such

as breach of contract is insufficient.” (Ibid.)

Plaintiff

alleges Defendants operated an unlawful business by violating the Contractors

State License Law, which encompasses Business and Professions Code sections

7000 – 7191. (Compl., ¶ 48.) Plaintiff alleges the unlawful and unfair

practices include performing and billing for unauthorized work without written

change orders and threatening to halt work to coerce payment of disputed

charges. (Compl., ¶ 49.) These are the same allegations Plaintiff pleads to

constitute the cause of action for breach of contract. (Compl., ¶ 29.)

Further,

Plaintiff bases the unlawfulness of Defendants’ business in part on payment of

unlawful deposits. (Compl., ¶ 50.) However, Plaintiff’s opposition admits that

Defendant’s motion identifies the more precise statutory framework for this

cause of action, Business and Professions Code section 7164, as this case

involves a new build home. (Opp., 6:7-10.) Business and Professions Code

section 7164 governs new construction of single-family homes. Business and

Professions Code section 7164 does not contain a statutory downpayment or

deposit limit.

Plaintiff's

demurrer to the fourth cause of action is sustained.

Fifth

Cause of Action (i.e., Unjust Enrichment/Money Had and Received)

"The

elements for a claim of unjust enrichment are receipt of a benefit and unjust

retention of the benefit at the expense of another. The theory of unjust

enrichment requires one who acquires a benefit which may not justly be

retained, to return either the thing or its equivalent to the aggrieved party

so as not to be unjustly enriched." (Lyles

v. Sangadeo-Patel (2014) 225 Cal.App.4th 759, 769 [cleaned up].) "As a

matter of law, a quasi-contract action for unjust enrichment does not lie where

... express binding agreements exist and define the parties' rights." (California

Medical Assn. v. Aetna U.S. Healthcare of California, Inc. (2001) 94

Cal.App.4th 151, 173.)

Here,

the parties have a written express contract governing the construction project,
which includes scope of work and payment obligations. (See Compl., Exh. A.)

Plaintiff's

demurrer to the fifth cause of action is sustained.

Seventh

Cause of Action (i.e., Declaratory Relief)

"To

qualify for declaratory relief, a party would have to demonstrate its action
presented two essential elements: (1) a proper subject of declaratory relief,
and (2) an actual controversy involving justiciable questions relating to the
party's rights or obligations." (Jolley v. Chase Home Finance, LLC

(2013) 213 Cal.App.4th 872, 909, cleaned up.) "[T]here is no basis for
declaratory relief where only past wrongs are involved." (Osseous

Technologies of America, Inc. v. DiscoveryOrtho Partners LLC (2010) 191

Cal.App.4th 357, 366, cleaned up.) However, a cause of action for declaratory
relief is superfluous and unnecessary where the issues underlying the cause of
action are already covered by other causes of action. (Hood v. Superior

Court (1995) 33 Cal.App.4th 319, 324.) "The declaratory relief statute

should not be used for the purpose of anticipating and determining an issue
which can be determined in the main action." (Ibid. [internal citations

omitted].)

Plaintiff

pleads an actual, present, and judicable controversy exists concerning the parties' rights under the construction contract and subsequent invoices and demands for payment. (Compl., ¶ 66.) Plaintiff seeks a judicial declaration that Defendants have been paid in full, Plaintiff owes no further amount, and that Defendants any not entitled to further payment related to the construction. (Compl., ¶ 69.) The parties' payment obligations and rights under the contract are already under dispute and can be decided under the breach of contract cause of action. Therefore, this cause of action is superfluous and unnecessary.

Plaintiff's

demurrer to the seventh cause of action is sustained.

Eighth

Cause of Action (i.e., Assault)

"The

essential elements of a cause of action for assault are: (1) defendant acted with intent to cause harmful or offensive contact, or threatened to touch plaintiff in a harmful or offensive manner; (2) plaintiff reasonably believed [he or] she was about to be touched in a harmful or offensive manner or it

reasonably appeared to plaintiff that defendant was about to carry out the threat; (3) plaintiff did not consent to defendant's conduct; (4) plaintiff was harmed; and (5) defendant's conduct was a substantial factor in causing plaintiff's harm." (So v. Shin (2013) 212 Cal.App.4th 652, 668-69.)

Plaintiff

pleads this cause of action with the requisite specificity. Plaintiff pleads that in April and May of 2024, Defendant "advanced toward Plaintiff in a menacing manner, raised his voice, and made verbal threats implying imminent physical harm if Plaintiff did not comply with his payment demands, thereby causing Plaintiff to reasonably believe that Defendant Hart was about to commit a violent injury upon Plaintiff." (Compl., ¶ 73.) Defendant's argument that the complaint is devoid of physical realities and alleges no specific facts establishing present ability to inflict harm fails because Plaintiff's allegations, taken as a whole, establish that Defendant was able to inflict harm. The exact physical gestures made, distance, angle, and movement of Defendant is unnecessary.

Plaintiff's

demurrer to the eighth cause of action is overruled.

Leave

to Amend

Leave

to amend must be allowed where there is a reasonable possibility of successful

amendment. (Goodman v. Kennedy, (1976) 18 Cal.3d 335, 348.) The burden is on the

complainant to show the Court that a pleading can be amended successfully. (Ibid.)

Where a pleading is successfully challenged on demurrer, "[t]he plaintiff has

the burden of proving that an amendment would cure the defect." (Schifando v. City of Los Angeles, (2003) 31 Cal.4th 1074, 1081.)

Plaintiff

states the ability to amend the fourth cause of action to clarify the statutory

framework and cure the issues. (Opp., 11:19-25.) Plaintiff further states the

ability to amend the unjust enrichment/money had and received cause of action by

clarifying that it is pleaded in the alternative, seeks restitution, and

demands for work outside any valid written or signed change order. (Opp.,

12:21-26.) Further, Plaintiff argues the ability to amend the declaratory

relief claim to identify the present controversy, specifically the continuing

claim Plaintiff owes additional sums under invoices arising from the project.

(Opp., 13:1-4.) Leave to amend is granted.

2. Motion to Strike

Legal

Standard

“The

court may upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper:

(a) strike out any irrelevant, false, or improper matter in any pleading; (b)

strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a

court rule, or an order of the court.” (Code Civ. Proc., § 436.) “The grounds for a motion to

strike shall appear on the face of the challenged pleading or from any matter

of which the court is required to take judicial notice.” (Code Civ. Proc., § 437, subd. (a).)

Discussion

Defendant

requests the court strike the following portions of Plaintiff’s complaint:

(1)

Page 7, Paragraph 25, lines 24-25: The phrase “...and attorney’s fees incurred to

address and remedy Defendant’s breaches and misconduct.”

(2)

Page 10, Paragraph 36, lines 9-10: The phrase “...and attorney’s fees and costs

incurred to address Defendants’ misconduct...”

(3)

Page 11, Paragraph 41, lines 6-8: The entire sentence beginning with “Defendants,

and each of them, made this demand because they lacked the financial resources

and credit necessary to perform the project as promised, and intended instead

to use Plaintiff's funds to finance their own operations."

(4) Page 12, Paragraph 45, lines 5-6: The phrase "...and

attorney's fees and costs..."

(5) Page 12, Paragraph 46, lines 8-13: The entire

paragraph beginning with "Defendants' conduct was fraudulent, malicious, and

oppressive..."

(6) Page 13, Paragraph 52, lines 9-12: The entire

paragraph beginning with "Plaintiff further seeks attorney's fees pursuant to

Code of Civil Procedure § 1021.5..."

(7)

Page 17, Paragraph 77, lines 24-27: The entire paragraph beginning with "Defendant's

conduct was willful, wanton, and malicious..."

(8)

Page 18, Prayer for Relief, Item 3, lines 13-14: The entire request reading "For

exemplary and punitive damages pursuant to Civil Code § 3294, on account of

Defendant's fraudulent, malicious, oppressive, and assaultive conduct";

(9)

Page 19, Prayer for Relief, Item 8, line 3: The entire request reading "For reasonable

attorney's fees and costs of suit; and"

Defendant

argues these portions of the complaint should be stricken because: (1)

attorneys' fees are not recoverable absent a specific statutory provision or

express contractual agreement; (2) the complaint fails to plead specific facts

to support punitive damages; and (3) allegations regarding Defendant's finances

must be struck as irrelevant and prejudicial.

Attorneys'

Fees

"Except

as attorney's fees are specifically provided for by statute, the measure and

mode of compensation of attorneys and counselors at law is left to the

agreement, express or implied, of the parties; but parties to actions or

proceedings are entitled to their costs, as hereinafter provided." (Code Civ.

Proc., § 1021.) "Upon motion, a court may award attorneys' fees to a successful

party against one or more opposing parties in any action which has resulted in

the enforcement of an important right affecting the public interest if: (a) a

significant benefit, whether pecuniary or nonpecuniary, has been conferred on

the general public or a large class of persons, (b) the necessity and financial

burden of private enforcement, or of enforcement by one public entity against

another public entity, are such as to make the award appropriate, and (c) such

fees should not in the interest of justice be paid out of the recovery, if any."

(Code Civ. Proc., § 1021.5.)

This

dispute is not one of public interest, as it is a private dispute between a homeowner and contractor regarding an alleged breach of contract for home construction, without any significant benefit conferred on the general public. Outside of Code of Civil Procedure section 1021.5, Plaintiff points to no contract statutory provision or express agreement authorizing attorneys' fees in the complaint.

The Court

grants the motion as to the portions of Plaintiff's complaint related to attorneys' fees. The Court does not grant leave to amend. Plaintiff does not oppose the instant motion and does not meet the burden to prove amendment would cure defect. (Schifando v.

City of Los Angeles (2003)

31 Cal.4th 1074, 1081.)

Punitive

Damages

To

recover for punitive damages, a plaintiff must prove "by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice."

(Civ Code, § 3294, subd. (a).) Malice refers to “conduct which is intended by the

defendant to cause injury to the plaintiff or despicable conduct which is

carried on by the defendant with a willful and conscious disregard of the

rights or safety of others.” (Civ Code, § 3294, subd. (c)(1).) Oppression refers to “despicable conduct that subjects

a person to cruel and unjust hardship in conscious disregard of that person’s

rights.” (Civ Code,

§

3294, subd. (c)(2).) Finally, fraud refers to “an intentional

misrepresentation, deceit, or concealment of a material fact known to the

defendant with the intention on the part of the defendant of thereby depriving

a person of property or legal rights or otherwise causing injury.” (Civ Code, § 3294, subd. (c)(3).)

A

motion to strike punitive damages is properly granted where a plaintiff does

not state a prima facie claim for punitive

damages. (Turman v. Turning Point of Cent. California, Inc. (2010) 191

Cal.App.4th 53, 63.) “Mere

negligence, even gross negligence, is not sufficient to justify such an award”

for punitive damages. (Kendall Yacht Corp. v. United

California Bank (1975) 50 Cal.App.3d 949, 958.) Moreover,

conclusory allegations are not sufficient to support a claim for punitive

damages. (Brousseau

v. Jarrett (1977)

73 Cal.App.3d 864, 872.)

As

discussed above, Plaintiff has properly pled a cause of action for

fraud/intentional misrepresentation. Therefore, the motion to strike as to the

portions of the complaint addressing punitive damages is denied.

Defendant's

Finances

Plaintiff's

allegation regarding Defendant's finances is directly relevant to the fraud cause

of action to show that Defendants made their allegedly fraudulent statement to

use Plaintiff's funds to finance their business operations and that their

deposit amount was a false pretense. The Court determines that the allegations

is neither irrelevant nor prejudicial or improper under Code of Civil

Procedure section 436.

The

motion is denied as to the portions of the complaint addressing Defendant's

finances.